MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS)

FIFTH SEMESTER EXAMINATION - MODEL QUESTION PAPER

(2024 ADMISSION ONWARDS)

MG5DSECOM305 – Procurement and Global Sourcing

Duration: 2 hrs Maximum Marks: 70

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Section A- Very Short Answer

Attempt any **ten** questions. Answer in a word, phrase or sentence. Each question carries **1 mark**.

1. How does global sourcing differ from domestic sourcing? [U] / [CO1]
2. A company shifts production from a distant country to a neighbouring country. What sourcing strategy does this represent? [U] / [CO1]
3. What is the primary purpose of predictive analytics in procurement? [U] / [CO1]
4. How does strategic sourcing contribute to cost reduction? [U] / [CO2]
5. Name one hidden cost that may be considered in a make-or-buy decision. [A] / [CO2]
6. What is meant by SRM? [U] / [CO2]
7. Name one certification associated with environmental management. [U] / [CO2]
8. What is a quality risk in procurement? [A] / [CO3]
9. Name one procurement activity that can be automated using digital tools. [U] / [CO3]
10. What is meant by a confidentiality breach in procurement? [U] / [CO3]
11. What is meant by CSR in supply chain management? [U] / [CO3]
12. What does DMAIC stand for? [U] / [CO4] **[10 × 1 = 10]**

Section B- Short Essay

Attempt any **five** questions. Each question shall be of one page. Each question carries **8 marks**.

13. Explain the Supplier Scorecard as a tool of Supplier performance Measurement. How is performance classified for rating and decision-making? [An] / [CO2]
14. Discuss the important trends in global procurement with examples. [U] / [CO1]
15. Explain the drivers of digital transformation in procurement. [U] / [CO1]
16. Explain the concept of Life Cycle Assessment (LCA) and discuss its importance in sustainable sourcing decisions. [U] / [CO2]

17. “Supplier risk assessment should go beyond evaluating the financial strength of suppliers.” Discuss the statement with reference to geopolitical and regulatory risks. [An] / [CO3]
18. What is the "China Plus One" strategy? Explain with suitable examples how it helps firms reduce supply chain risks. [An] / [CO3]
19. Explain the major methods of protecting intellectual property in global sourcing. [U] / [CO4]

[5 × 8 = 40]

Section C- Essay Questions- Case/ Situation Type

Attempt any **one** question, which carries **20 marks**.

20. A global laptop manufacturer has manufacturing facilities in China and Vietnam, while its largest markets are Europe and North America.

    The company recently experienced:

    - Pandemic-related factory shutdowns
    - Tariff increases
    - Political conflicts affecting trade
    - Shipping delays extending delivery times by 40 days
    - Customer complaints due to delayed product launches

The CEO wants to know whether production should remain in Asia or be relocated closer to major markets.

As a Global Procurement Consultant, prepare a detailed report addressing:

a) Explain why globalization alone is no longer sufficient for modern procurement strategies. (3 Marks)

b) Compare offshoring, nearshoring, and reshoring using suitable examples. (5 Marks)

c) Analyze how reshoring and nearshoring improve supply chain resilience, procurement efficiency, and customer satisfaction. (5 Marks)

d) Discuss the potential challenges and risks involved in implementing these strategies. (3 Marks)

e) Recommend the best sourcing strategy for the company with suitable justification and expected long-term outcomes. (4 Marks) [U] / [CO1]

21. A large retail company sources garments from suppliers in different countries. The company recently discovered that one of its major suppliers has been accused of paying low wages, providing unsafe working conditions and employing workers for excessive hours. There are also concerns that the supplier maintains incomplete records and has failed to comply with certain labour and environmental requirements.

The company's procurement manager, however, is reluctant to discontinue the supplier because it offers lower prices and ensures timely delivery. Some employees have also raised concerns that supplier selection may not always be transparent.

As a Procurement Manager, answer the following:

a) Identify the major ethical issues involved in the above situation. (5 marks)

b) Explain how the company can fulfil its Corporate Social Responsibility (CSR) towards workers and other stakeholders in its supply chain. (5 marks)

c) Explain the important components of a supply chain governance framework that can help prevent such issues. (5 marks)

d) Suggest measures that the company should adopt to ensure ethical and responsible global sourcing. (5 marks) [An]/[CO3]

[1 × 20 = 20]